

**BEFORE THE
FEDERAL MARITIME COMMISSION**

**PETITION OF THE COALITION
FOR FAIR PORT PRACTICES
FOR RULEMAKING**

**DOCKET NO.
P4-16**

REPLY OF THE NATIONAL ASSOCIATION OF WATERFRONT EMPLOYERS

Pursuant to the notice published by the Federal Maritime Commission ("FMC" or "Commission") in the *Federal Register* (81 *Fed. Reg.* 95612, December 28, 2016), the National Association of Waterfront Employers ("NAWE") hereby replies to the petition of the Coalition for Fair Port Practices ("Petitioner") for Rulemaking (the "Petition").

For the reasons set forth below, NAWA urges the Commission to deny the Petition.

I.

Interest of NAWA

Many of the members of NAWA are marine terminal operators ("MTOs"). As such, they would be directly and substantially affected by any rule adopted in a proceeding initiated by granting the Petition.

II.

Nature of Relief Sought and Summary of NAWA's Position

The Petition claims to be seeking a rule to interpret and clarify section 41102(c) of the Shipping Act. However, this purported "clarification" is in fact a substantive change in existing law that would supplant the commercial process of the market

place with an FMC rule that would shift to marine terminal operators all legal, operational, and financial risk of circumstances beyond the control of any party, including the MTO, which result in the imposition of demurrage charges. The relief sought by the Petition would, without regard to specific factual circumstances, make marine terminal operators the insurers of the cargo interests and motor carriers, even in those circumstances where it would be more appropriate to place the risk of delay and demurrage charges on the cargo interest or motor carrier. If granted, the Petition would effectively eliminate the ability of commercial parties to negotiate and assign risk as they deem fair and appropriate. It would substitute a blanket policy judgment by the Commission, without regard for the facts of specific situations, in place of the operation of the market place and existing dispute resolution mechanisms, which currently operate quite effectively.

NAWE urges the Commission to reject the Petition on the grounds that the Commission lacks the legal authority to grant the relief sought. In addition, even if the Commission had the authority to grant the relief sought, the Petition does not demonstrate a sufficient need for a rulemaking proceeding to address the issues raised therein. The relief sought by Petitioner is contrary to and represents a major substantive change in existing law. Finally, the relief sought is excessive and not fit and appropriate to the end in view. It is unworkable, would create confusion and increase the number of disputes among interested stakeholders, and would create a disincentive for receivers to remove their cargo from marine terminals promptly.

III.

The FMC Lacks The Legal Authority To Grant The Relief Sought By The Petition

Petitioner devotes considerable time and effort to arguing that the Commission has authority to adopt a rule of the type advocated by the Petition. If the existence of such authority were clear, it would not be necessary to devote so much of the Petition to arguing the point. Moreover, Petitioner's argument with respect to the Commission's alleged authority to grant the petition relies heavily on the Commission's adoption of truck detention rules for the Port of New York in the 1960s and 1970s. Such reliance ignores an important difference in the Commission's statutory authority prior to and after 1984.

Section 17 of the Shipping Act, 1916 (46 U.S.C. §816), under which the New York rules were promulgated, read as follows:

Every other person subject to this act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. Whenever the board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe and order enforced a just and reasonable regulation or practice.

(emphasis added). The foregoing is the predecessor of former section 10(d)(1) of the Shipping Act of 1984, 46 U.S.C. App. §1709(d)(1)¹, which read:

No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

¹ 46 U.S.C. App. §1709(d)(1) was subsequently recodified as present day 46 U.S.C. §41102(c), which reads: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

Thus, when Congress replaced the Shipping Act, 1916 with the Shipping Act of 1984, it eliminated the Commission's authority to determine, prescribe and order enforcement of a just and reasonable regulation or practice.

Petitioner asks the Commission to exercise precisely that authority which Congress removed from the statute: to prescribe a just and reasonable regulation or practice. The rule sought by the Petition would require marine terminal operators to adopt rules under which they could not assess demurrage if the failure to pick up the cargo within free time was due to any cause outside the control of the shipper or motor carrier, even if such cause was not the fault of, and was beyond the control of, the terminal operator. See, paragraphs (b), (d) of the proposed rule. It would also require marine terminal operators to limit their charges to an amount equal to cost if the terminal operator were unable to make cargo available as the result of a force majeure-type event which arises after the expiration of free time. See, paragraph (c) of proposed rule. Thus, the proposed rule prescribes a specific regulation or practice, and is thus beyond the authority of the Commission.

In addition to lacking the authority to prescribe just and reasonable regulations and practices, the FMC also lacks the authority to regulate the level of rates and charges. Section 18 of the Shipping Act, 1916 (46 U.S.C. §817), contained the following authority:

Whenever the board finds that any rate, fare, charge, classification, tariff, regulation, or practice, demanded, charged, collected or observed by such carrier is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable maximum rate, fare, charge, or a just and reasonable classification, tariff, regulation, or practice.

Like the authority to prescribe just and reasonable regulations and practices, the foregoing authority was not carried over to Shipping Act of 1984. The FMC itself has recognized that it has no authority over the level of rates and charges. *Notice of Inquiry Concerning Use and Effect of Surcharges By Common Carriers and Conferences*, 26 S.R.R. 108, 119 (FMC 1992) (“We note, however, that the Commission does not have statutory authority to regulate the level of rates charged...”).

However, the Petition once again asks the FMC to exercise the very authority it lacks. The proposed rule would prohibit collection of demurrage “exceeding a compensatory rate” when the terminal is able to tender cargo for delivery and received equipment, but shippers, receivers or motor carriers are unable to remove cargo or return equipment. Thus, the proposed rule would limit the amount marine terminals are permitted to charge under specified circumstances to an amount equal to their storage costs. If the Commission lacks the authority to dictate the level of rates and charges assessed, how can it have the authority to adopt such a rule?

Accordingly, the Petition should be denied because the Commission lacks the legal authority to grant the relief sought.

IV.

There Is No Legitimate Need For The Relief Sought By The Petition

The Petition should also be denied because it fails to demonstrate a legitimate need for the relief sought.

The FMC’s regulations do not set forth a specific standard to be used in reviewing and determining whether or not to grant a petition to initiate a rulemaking proceeding. However, the Commission has stated that there must be a “good reason”

for granting relief and that the relief sought must be reasonable. *Petition of National Customs Brokers and Forwarders Association of America, Inc. for Rulemaking*, 30 S.R.R. 76 at 78 (FMC 2004). The Commission has also rejected petitions for rulemaking when they are unsupported by an adequate factual basis to justify a rulemaking or the adoption of broad regulatory relief on a national scale. *Petition of Olympus Growth Fund III, L.P. and Olympus Executive Fund, L.P. for Declaratory Order, Rulemaking or Other Relief*, 31 S.R.R. 718 (FMC 2009) and cases cited therein.² As explained further below, the Petition fails to establish that there is a “good reason” for granting the relief sought “on a national scale.”

A. *There Is An Inadequate Factual Basis To Grant The Petition*

In considering petitions for a rulemaking, the Commission has indicated that such petitions must be supported by facts and data “so as to convince the Commission of the need for broad regulatory relief.” *Petition of Olympus Growth Fund III, L.P. and Olympus Executive Fund, L.P. for Declaratory Order, Rulemaking or Other Relief*, 31 S.R.R. 718, 724 (FMC 2009), citing *Marine Terminal Tariff Provisions Regarding Liability of Vessel Agents*, 27 S.R.R. 611, 614 (FMC 1996). In the latter decision, the FMC denied a petition because it lacked the support necessary to grant “relief on a nationwide scale” and because petitioner had not provided “evidence of pervasive conditions requiring a broad rule of applicability.” *Id.* The same is true of this Petition.

² The term “good reason” appears to be shorthand for the various factors set forth in 46 C.F.R. §502.51 and *Petition of Olympus Growth Fund*.

The verified statements provide very limited factual material and are in and of themselves seriously flawed. Some of the verified statements are form submissions (see, e.g., the identical second and fourth paragraphs in Exhibits C-7, C-11, and C-12). Others express concern about potential future problems, which are not factual statements at all. See, Exhibits C-4 and C-5.

More importantly, the verified statements do not provide a sufficient factual basis to warrant granting the Petition. Most of the verified statements lack detail, or deal with only a very small number of shipments. In either case, they do not provide a sufficient factual basis for initiating a rulemaking proceeding to adopt a regulation that would impact every U.S. importer and exporter, every U.S. marine terminal operator, and every common carrier operating in the foreign commerce of the United States.

For example, Exhibit C-4 provides details of a delay relating to two containers and associated charges totaling \$1175.³ Exhibit C-6 describes a one-day delay with respect to a single container. Exhibits C-7 and C-11 speak only in general terms and provide no details whatsoever. Exhibits C-8, C-12, C-13 and C-15 provide only one or a small number of examples of problems. This is not a sufficient factual basis upon which to grant the Petition.

In addition to failing to provide a factual basis upon which to grant the Petition, the verified statements actually provide a basis upon which to deny the Petition. Two

³ Significantly, the delays in that case and in the case cited in Exhibit C-12 were due to a Customs inspection. A predecessor of the FMC held that carriers and terminals may continue to assess demurrage charges during a delay caused by a Customs inspection. *Free Time and Demurrage Charges at New York*, 3 U.S.M.C. 89, 96 (USMC 1948).

verified statements indicate that congestion and associated detention/demurrage issues are no longer a problem or have subsided, thereby rendering the relief sought by the Petition moot. See, Exhibits C-3 and C-5. Another verified statement admits that approximately half of all demurrage paid by the trucking company submitting the statement was the responsibility of the trucking company. See, Exhibit C-14. If this is correct, then how extensive is the “problem” for which the Petition seeks relief?

The Petition’s underlying premise that the market does not work to control unreasonable allocation of demurrage costs, and that the petitioners have no control over the supply chain, is simply not true. First, shippers do have choices as to which port, ocean common carrier, and inland carrier to use. See, *Report: Rules, Rates, and Practices Relating to Detention, Demurrage, and Free Time for Containerized Imports and Exports Moving Through Selected United States Ports* (April 3, 2015) (“FMC Report”) at page 25. If shippers fail to exercise their choice of MTOs or carriers who offer more favorable demurrage or detention terms, that is not a reason for government intervention on their behalf.

Second, there is ferocious competition among MTOs and ocean common carriers for cargo which includes all terms and charges, including demurrage. In fact, the headline on the front cover of the January 25, 2017, edition of the *Journal of Commerce* was: “COMPETING FOR CARGO FROM COAST TO COAST: With container networks shrinking, ports in all four US corners are battling for every box they can get.” The fierce competition among steamship lines and the resulting financial challenges are well known.

As an indication of the competition, some MTOs have made commercial decisions to provide relief to ocean common carriers and other terminal users in cases of closure or congestion. In cases where that relief has been provided to ocean carriers, the specific intent has been for ocean common carriers to pass that relief on to the shippers.

B. The Proposed Relief Sought in paragraph (d) is Particularly Baseless

Paragraph (d) of the rule proposed by the Petition would prohibit marine terminal operators and carriers from imposing any charges beyond storage costs when the terminal operator or carrier is able and willing to deliver the cargo or accept the equipment, but the shipper or trucker is unable to perform due to circumstances beyond its control. There is no support for this extreme remedy in the verified statements.

None of verified statements identify a particular shipment or scenario in which demurrage charges were assessed for any reason other than port closure/congestion. While the statements identify a number of different factors which allegedly contributed to port congestion/closure, none of them identifies any specific shipment for which a shipper, receiver, or motor carrier was charged demurrage as a result of the terminal operator being able to perform but the shipper, receiver or motor carrier being unable to perform for reasons beyond its control. Therefore, there is no support in the verified statements for paragraph (d) of the suggested rule. In light of this, should the Commission decide to grant the Petition (which it should not), any proposed rule should not include paragraph (d) of the rule advocated by the Petition.

C. *The Petition Should Be Denied Because Port Congestion Varies Widely Among Ports and at Different Times*

The Petition and the verified statements document very well the limited and unique circumstances which led to the port congestion that is the basis of the relief sought. The Petition and the verified statements identify the primary causes of the congestion as the labor situation on the West Coast in late 2014 and early 2015, and the severe weather in the Northeast in that same time period. There is no mention of congestion at South Atlantic and Gulf ports, for example. Moreover, as noted above, at least two of the verified statements indicate that port congestion is either no longer an issue or has subsided since early 2015. See Exhibits C-3 and C-5. NAWA is not aware of substantial or on-going congestion problems having occurred at any U.S. ports during 2016.

Unique episodic conditions do not justify a blanket, broad-brush policy on demurrage charges. The foregoing demonstrates that congestion is almost always the result of unique circumstances (labor dispute, unusually bad weather) and is almost always limited in duration and geographic scope. Certainly, it is not an “acute” “national” or “pervasive” problem as suggested on page 5 of the Petition, and as required under the cases. In light of this, a rulemaking applicable nationwide is an unnecessary overreaction to the extraordinary factual circumstances identified in the Petition and verified statements.

While port congestion does occur from time to time, it is not a chronic problem and not a substantial one at this time. As discussed in the next section of this reply, it is not necessary to pursue a rulemaking on the issue of demurrage and detention in

the context of port congestion because adequate remedies exist to deal with such issues when the convergence of unique circumstances results in congestion.

D. *The Petition Should Be Denied Because Adequate Remedies Are Already Available*

The Petition seeks adoption of a federal regulation to deal with issues arising from port congestion. However, in the FMC Report, the FMC recognized that there are several options available to cargo interest and their truckers, ocean carriers, MTOs, and port authorities to address demurrage and detention issues without additional regulation. FMC Report, pp. 31-36. In view of the many remedies presently available, the regulation sought by the Petition is unnecessary.

The Petition acknowledges, as it must, that many marine terminal operator schedules and carrier tariffs provide for the extension of free time and/or the waiver/refund of demurrage/detention charges in force majeure-type circumstances. See, Petition at pp. 7-8. It is not necessary to initiate a rulemaking proceeding to mandate action that is already being undertaken by a substantial portion of the industry.

Moreover, the relief contemplated by marine terminal operator schedules and carrier tariffs is merely the tip of the iceberg when it comes to dealing with demurrage and detention charges arising out of port congestion and other force majeure-type circumstances. Many means of dispute resolution, all of which are acknowledged in one or more of the verified statements which accompany the Petition, are available. First of all, numerous verified statements acknowledge that these issues are the subject of commercial negotiation with terminal operators or carriers (see, Exhibits C-2, C-3, C-4, C-8, and C-14). The Commission's Office of Consumer Affairs and

Dispute Resolution Services is also available to assist in resolving disputes, as acknowledged by Exhibits C-3 and C-4. Parties to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA") can arbitrate under the procedures set forth in that agreement (see, Exhibits C-1 and C-9). There is also the possibility of filing a complaint with the Commission, alleging that specific conduct violates the Shipping Act. Despite allegations that thousands of shipments have been assessed millions of dollars in demurrage and/or detention charges that were unjust and unreasonable, no complaints alleging a violation of the Shipping Act have been filed with the FMC. This calls into question the need for the relief being sought.

Further, in addition to the existing dispute resolution mechanisms, the FMC's own research show that market forces supplant the need for the regulations that the Petitioner seeks. In the FMC Report, the FMC noted that shippers have the leverage to negotiate for more free days and lower demurrage and detention rates through confidential service contracts or through pressuring VOCCs to change their tariffs:

Importers who move their cargo under service contract appear to have the ability to negotiate terms with the VOCCs that would address declines in terminal handling velocity with corresponding increases in demurrage and detention free time but, *to date, have not negotiated these charges.*

FMC Report at p. 25 (emphasis added). The Verified Statements confirm that shippers often obtain extended free time from their ocean carriers as part of their service contracts.

In light of the existing market forces and the many forms of recourse already available, is a rulemaking on this issue necessary or desirable? When answering this question, the Commission should consider why the Petition is supported by a

relatively small number of verified statements, and that many other shippers, consignees and truckers were able to resolve any issues they may have had with charges imposed as the result of port congestion through one or more of the foregoing means.

NAWE respectfully suggests that in the unlikely event the Commission determines that some action is required with respect to this issue, it would be preferable to address the issue through cooperation among stakeholders (e.g., recommended best practices from the Commission's Supply Chain Innovation Teams, the Department of Transportation's FAST Act Port Performance Freight Statistics Working Group and the Port of Los Angeles/Long Beach Supply Chain Optimization committees) than through rulemaking.

V.

**The Relief Sought By The Petition Is Contrary To,
And Represents A Substantive Change In, Existing Law**

As an initial matter, the relief sought is contrary to FMC precedent. The FMC and its predecessors have long held that, under the Shipping Act, reasonableness is question of fact. *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966) (“It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning.”). See also, *New Orleans Stevedoring Co. v. Board of Commissioners, Port of New Orleans*, 29 S.R.R. 1066, 1072 (FMC 2002); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore and The Maryland Port Administration*, 27 S.R.R. 539, 545 (FMC 1996) (“Our decisions have emphasized various commercial, physical and competitive factors affecting our view of what is reasonable in these cases.”). The rule would up-end this long-standing and

well-established interpretation of the Shipping Act and categorically hold conduct to be unreasonable without regard to the facts surrounding the particular conduct at issue. If, as Petitioner claims, it is unreasonable for a marine terminal operator to assess charges in circumstances where the delay is beyond the control of the receiver, then it must also be unreasonable to require a marine terminal operator to absorb the costs of storage when the delay is beyond its control or is the fault of the receiver.

The rule proposed by the Petition also raises serious issues under the Administrative Procedure Act and FMC regulations. In any proceeding under Shipping Act, the burden of proof is on the proponent. 5 U.S.C. §556(d); 46 C.F.R. §502.155 ("In all cases, as prescribed by the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof shall be on the proponent of the rule or order."). Here, the rule would have the effect of shifting the burden of proof from a complaining shipper, receiver or motor carrier to the marine terminal operator or carrier. The MTO or carrier would then be required to overcome the presumption of unreasonableness established by the proposed rule and demonstrate the reasonableness of assessing the charge in that situation. Such a shifting of the burden of proof requires an act of Congress. *West Gulf Maritime Association v. Port of Houston Authority of the Port of Houston, TX*, 21 F.M.C. 244, 247 (1978) ("The burden of proof in adjudicative proceedings is upon the party proposing the rule or order, unless otherwise provided by statute"), affirmed 610 F.2d 1001 (D.C. Cir. 1979). Accordingly, the proposed rule is contrary to existing law.

The proposed rule is also inconsistent with the Shipping Act's stated purpose of establishing a non-discriminatory regulatory process with minimum of government intervention and regulatory costs. 46 U.S.C. §40101(1). The proposed rule would

discriminate against marine terminal operators and ocean carriers by arbitrarily, and without factual analysis or support, placing all risk of delays due to force majeure-type circumstances on the marine terminal operator or carrier rather than permitting some of that risk to be assigned to the shipper, receiver, or motor carrier. An agency regulation which would assign all risk of a force majeure-type event impacting a shipper to a marine terminal operator that is ready, willing and able to perform cannot be considered “non-discriminatory.” If a shipper is unable to pick up cargo because of a problem beyond its control at the warehouse it uses (or a problem with some other agent of the shipper), why should the terminal operator be forced to absorb the demurrage for the containers not picked up? If a snowstorm, hurricane, or other extraordinary weather-related event closes a port, how is it fair or reasonable to allocate all associated demurrage expenses to the MTO?

Moreover, the rule would increase, rather than minimize, government intervention and regulatory costs. As explained in Section VI of this reply, the proposed rule would raise a number of issues that would result in increased litigation over demurrage and detention issues. All of this litigation would take place before administrative law judges at the FMC, thereby increasing government intervention and regulatory costs.

Finally, the alleged “clarification” sought by the Petition is in fact a substantial expansion of existing law.⁴ The Petition admits that the relief it is seeking goes well

⁴ This means the proposed rule is substantive rather than “interpretative” as suggested by the Petition, and would be subject to “notice and comment” rulemaking procedures under the Administrative Procedure Act. See, e.g., *American Mining Congress v. Mine Safety & Health Admin.*, 995 F.2d 1106 (D.C. Cir. 1993).

beyond the rules the Commission once established with respect to the Port of New York (Petition at p. 30), which rules were established when the Commission had much broader statutory authority than it does at present. For example, the proposed rule would preclude marine terminals and carriers from assessing demurrage for ANY reason beyond the control of the shipper, including Customs inspections. See, Petition at pp. 31-32; 39. However, the Commission has held that it is reasonable to apply charges to cargo that exceeds free time as a result of a Customs inspection. *Free Time and Demurrage Charges at New York*, 3 U.S.M.C. 89, 96 (USMC 1948). It is certainly far more reasonable to place the risk of delay arising from Customs inspections on the importer, who is responsible for Customs clearance, than on the marine terminal operator.

Another example of how the proposed rule would be contrary to existing law is its prohibition on assessing charges when the disability which prevents customers from picking up cargo or delivery equipment starts after free time had ended. Petition at p. 37. However, the Commission has held that the assessment of charges is lawful under such circumstances. *The Boston Shipping Association, Inc., et al. v. Port of Boston Marine Terminal Association, et al.*, 10 F.M.C. 409, 417-18 (FMC 1967) (“Once free time has expired, the vessel’s transportation obligation has ended. Absent a special contract, the carrier has done all that its transportation obligation requires it to do. Thus, in our view, it is only just and reasonable that the consignee, who has failed to avail himself of the opportunity to pick up his cargo during free time, should bear the risk of any additional charges resulting from a strike occurring after free time has expired.”)

Thus, rather than being a “clarification” of a statutory provision, the rule sought by the Petition represents a significant and substantive change and expansion of existing law.⁵

VI.

The Rule Proposed In The Petition Is Excessive And Not Fit And Appropriate To The End In View

The Petition should be denied because the rule it proposes does not comply with the legal standard applicable to evaluating the reasonableness of marine terminal operator practices.

In the context of terminal practices, “reasonable” means otherwise lawful, not excessive and reasonably fit and appropriate to the end in view. *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan and Its Member Lines*, 24 S.R.R. 714, 721 (FMC 1988); *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). When that standard is applied to the proposed rule sought by Petition, it becomes apparent that the relief sought is excessive and not fit and appropriate. Indeed, as explained further below, the Petition would not only fail to remedy the alleged issues it purportedly seeks to address, but would in fact create numerous other problems.

A. The Proposed Rule Would Not Remedy The Problems It Allegedly Seeks To Address

The Petition claims to be seeking to further the public interest in the efficient

⁵ That the Petition represents much more than a “clarification” or “interpretation” is revealed in the verified statements, which ask the FMC to limit or restrict the practices of marine terminal operators. See, e.g., Exhibit C-5 (“I urge the Federal Maritime Commission to limit the ability of ocean carriers to charge demurrage...”)-

flow of cargo. See, e.g., Petition at pp. 4, 29. The Petition suggests this noble-sounding objective be achieved by absolving shippers, receivers, and motor carriers of virtually all responsibility for the efficient flow of cargo and shifting all financial risk of any delay whatsoever to the marine terminal operators and ocean carriers. In addition to the legal problems with this approach described above, there is a very practical problem with the approach: it won't work.

The Petition claims that the proposed rule would incentivize terminals and carriers to reduce future delays and congestion. However, that is simply not true. Paragraph (d) of the rule would impose all financial risk of any delay on marine terminal operators and carriers, even when that delay is not the responsibility of or within the control of the marine terminal operator. Since the disabilities covered by paragraph (d) are outside the control of the marine terminal operator and carrier, there is nothing they could do to prevent them and hence the incentive allegedly created by the rule is in fact non-existent. Likewise, shifting the costs of weather-related events to the MTO and carrier as sought in paragraphs (b) and (c) does not prevent future snow storms and hurricanes. Rather than create an incentive for marine terminal operators to avoid delays, it would simply penalize them for delays that are beyond their control.⁶

Some illustrative examples of events beyond the control of shipper which prevent the shipper from picking up cargo when the marine terminal operator is ready,

⁶ MTOs and carriers would have to insure against these financial risks, either through the purchase of insurance or through self-insurance. In either case, the cost or some portion thereof would be passed on to their customers, the shippers and truckers, in the form of higher prices.

willing and able to make it available demonstrate how unreasonable it would be to shift the risk of all such events to the marine terminal operator. For example:

- the customer of the receiver has gone bankrupt and the receiver must find an alternate buyer of the goods being imported.
- the warehouse used by the receiver to store the goods after they are removed from the terminal is unable to accept the goods.
- the container is discovered to be overweight and the receiver needs to make arrangements for an alternate means of transport or for a special overweight permit.
- the goods in question cannot clear Customs because they are subject to a quota which has been filled, and arrangements must be made for storage in a duly authorized facility.
- the receiver is unable to pick up the goods because a protest (e.g., "Occupy Oakland") is blocking access to the port.

Assume that in each of the foregoing examples the marine terminal is operating normally and is ready, willing and able to deliver the cargo. Assume further that the event beyond the control of the receiver prevents it from picking up the cargo within the allotted free time. Why, in these examples, is it reasonable to shift the financial risk of demurrage charges from the receiver to the marine terminal operator? Is it not more reasonable to assign the risk of problems arising with the receiver's customers and service providers? Should the financial risk of an inability to access open terminals due to force majeure events such as a protest not be a subject of discussion and negotiation among the stakeholders, rather than a blanket policy adopted by the FMC which always places the financial risk on the marine terminal operator?

In fact, if anything, the rule would likely exacerbate congestion. The proposed rule would reduce the incentive for shippers to remove their cargo during the free time period because in many circumstances they would have no liability for doing so. As noted above, in its *Boston Shipping Association* decision, the FMC properly recognized

that it is reasonable to place the risk of any disability that arises after free time has ended upon the shipper. That risk forms part of the current incentive for the shipper to ensure that the cargo is picked up during free time. However, under the proposed rule, that incentive is diminished because it would not be permissible to assess demurrage charges during a disability that commences after free time has ended. This creates no incentive for the marine terminal operator or carriers, which have already fulfilled their obligations by making the cargo available during free time. All this portion of the rule does is needlessly, unreasonably and without factual basis shift financial burden from shippers and receivers to terminal operators.⁷

B. The Proposed Rule Would Create Confusion And New Problems

Finally, the proposed rule would create confusion and an entirely new set of problems. Examples of those problems include the following:

- The definition of the term “disability” is vague and open-ended. It uses the phrase “including but not limited to,” which suggests that there are other events, not named in the rule, which would constitute a disability. The Commission finds use of the “including but not limited to” language objectionably vague in other contexts, and should do so here as well.
- Who determines what constitutes a disability, and when that disability begins and ends? Receivers? Truckers? MTOs? The Commission? When will that decision be made? How will interested persons be notified of that decision?
- How will the marine terminal operator know that the failure of a shipper or receiver to pick up cargo was due to circumstances which require relief? Who has the

⁷ The Petition claims that shippers and receivers have no incentive to leave cargo on marine terminals for any length of time. Petition at p. 19. If that is correct, then why do so many customers negotiate with ocean carriers for additional free time in their service contracts, as acknowledged by Exhibits C-1, C-4, and C-10 to the Petition? If it is truly in the public interest to minimize the amount of time containers spend on the marine terminal, shouldn't the Commission consider adopting a rule which prohibits excessive free time as being unreasonable and contrary to the Shipping Act? See, *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525 (FMC 1966)(excessive free time found to be unreasonable practice in violation of Shipping Act).

burden of proof that the event was beyond the control of the shipper or receiver? What level/form of proof is required? When and to whom is that proof to be submitted?

- What “costs” are covered by paragraph (d) of the proposed rule? The term is not defined. What is included in the cost of storage? Overhead? Profit? This is unclear. If there is a dispute over whether or not a charge includes more than costs, how would that dispute be resolved? By litigation at the FMC?

The foregoing issues demonstrate some of the complexity that would result from a rule along the lines of that proposed by the Petition. These uncertainties and the resulting complexity will greatly increase the amount of litigation over free time and demurrage/detention issues. Although Petitioner considers the status quo excessively complex (Exhibit C-13 to Petition), the fact is that the approach advocated in the Petition would be even more complex. This is particularly true when one takes the examples that the Petition gives based on a single container (Petition at p. 43), and multiplies them by the thousands of containers marine terminal operators are handling for each vessel call. The administrative burden and expense of addressing these new issues would be massive and prohibitive for marine terminal operators, carriers, their customers, and the Commission.

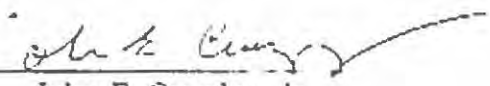
VII.

Conclusion

For the reasons set forth above, the Petition should be denied.

Respectfully submitted,

NATIONAL ASSOCIATION OF WATERFRONT
EMPLOYERS

By: 

John E. Crowley, Jr.
Executive Director

February 27, 2017